



“A bulk of Indians rely on savings for making purchases, but there is no reward for saving with a goal. Till recently, there was no efficient system of bringing merchants and consumers on the same platform while avoiding debt”

NEERAJ TULSYAN
CO-FOUNDER, HUBBLE



“People have realised that they can save monthly and then buy, which, in turn, helps them avoid any kind of debt trap. The big differentiator will be the number of brands in different segments a start-up is able to onboard”

MEHEKKA OBEROI
FUND MANAGER,
IIFL FINTECH FUND

essentials/regular use segments like *kirana*/grocery/education/insurance and utility payments, should the economics make sense. The average ticket size might be humble comparatively, but this could shape up as a game of scale,” says Mody.

However, not everyone believes that SNBL platforms would taste success in the essentials space as they have in the aspirational space. “SNBL is unlikely to work in small-ticket spend segments as no one is going to save to buy groceries, which has a very high recurrence rate. It is the value and utility of the use-case that will determine the utility of the savings platform or solution,” says Vignesh Ramanujam, Partner at Lok Capital and an early investor in Tortoise.

TRACTION NOW, SCOPE LATER?

The growth of SNBL start-ups coincides with the post-Covid-19 era that has seen an inherent

increase in awareness regarding savings. One could argue that the going has been smooth for such start-ups till now, but the future could be tumultuous if consumer behaviour changes and millennials start mimicking the western trend of over-leveraging one’s personal finances.

Mehekka Oberoi, Fund Manager at IIFL Fintech Fund and an investor in Multipl, strongly believes that the SNBL space will only grow as it caters to more consumers and many more categories and brands come on to the platforms. “This is a niche segment that has been created recently. Over the past two to three years, savings as a segment is growing as users look for avenues to save and invest,” says Oberoi. She adds that currently, this is a segment that does not have many big players. “So the ones who get into it now will definitely enjoy some early-mover advantage. The challenge that needs to be overcome is the number of merchants that are

onboarded,” she says.

In a similar context, Ramanujam says that the idea of savings versus credit is essentially about safety versus risk, and India traditionally has a strong savings culture. “It is just that earlier, the start-up focus was not there to weaponise savings as an instrument to improve our financial well-being. If one is able to marry savings with a specific purpose, then one can create a huge market as there is enough demand and supply,” he says, adding that merchant aggregation will play a key role going ahead.

SNBL players are well aware of the potential and challenges of the segment and are actively working towards getting more merchants and better deals for consumers. On the other hand, consumers can make big purchases on their own terms, and are also incentivised for saving. Seems a win-win for all. **BT**

@ashishrukhaiyar,
@teena_kaushal